India Iron Ore Mine Auction Economics

Why Companies Pay 100%+ Premiums - And Still Profit ??

A structured commercial study of iron ore mine auction economics, captive mine strategy, and integrated steel profitability in India

289.4 mnt	INR 4,000/t	300 mnt
FY25 Iron Ore Production	NMDC Fines (Feb 2026)	Steel Capacity Target FY30

FY2015-FY2026 (with FY26 live data to Feb 2026) | India | Currency: INR / USD

Data Sources: IBM (Ministry of Mines) · NMDC · JPC · BigMint · publicly available industry & government data

The Problem Statement

Why does rational behaviour produce what looks like irrational bidding?

Why would any company agree to pay INR 2 for every INR 1 of ore it sells?

WHAT THEY PAY

100-140%

of IBM ASP as auction premium
+ 15% royalty + DMF + NMET + logistics

VS

WHAT THEY EARN

Rs 4,000-7,000/t

ore realisation at IBM ASP range
plus steel integration uplift

The answer: the mine is not a standalone business. It is a 50-year input cost for a Rs50,000/t steel business. At 100% premium, ore cost adds ~10% to HRC revenue. The frame changes everything.

FY26 Supply Tightness - Live Market Validation

The premium thesis is being validated in real time | Source: BigMint, JPC, Dec 2025

+126%

Iron ore imports surge

Apr–Nov FY26 YoY (BigMint)
India importing despite 'surplus' - because surplus is low-grade

-10%

Odisha production declines

Apr-Nov FY'26 YoY
Largest ore-producing state - supply tightening at source

+10.8%

Crude steel output grows

Apr–Dec FY26 YoY (JPC)
123.87 MT in 9 months - demand outpacing supply

5.76 MT

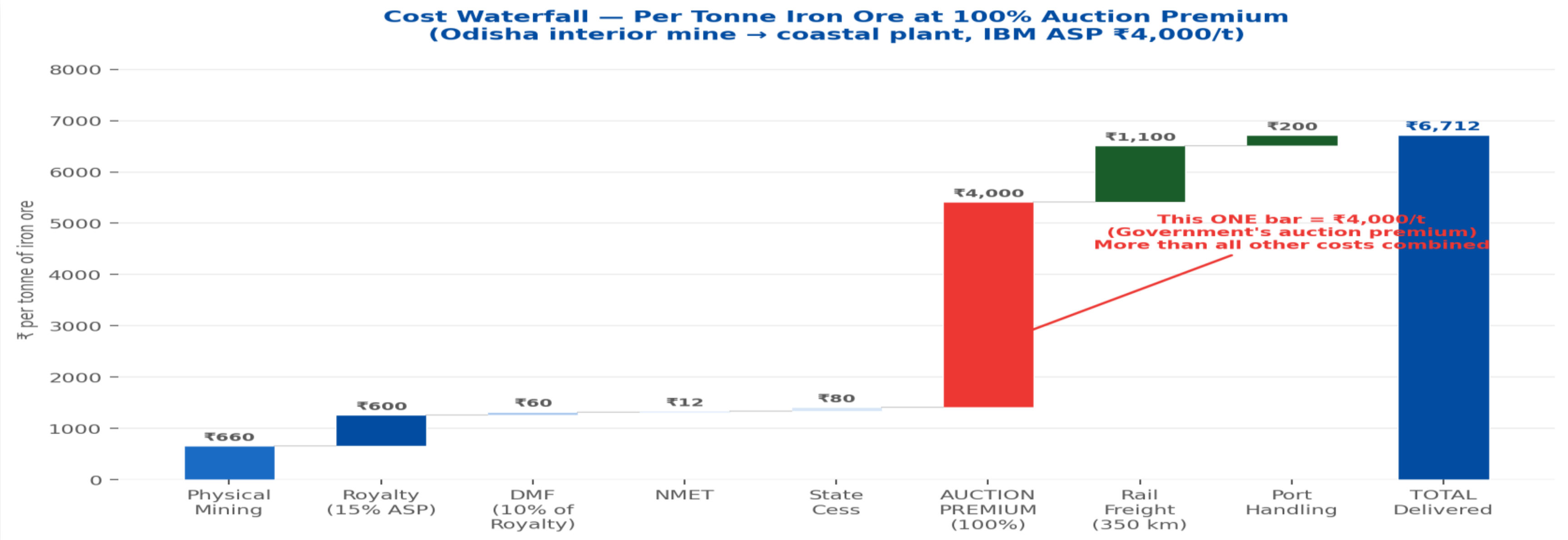
JSW Steel alone imported

FY25 full year (BigMint)
Single company = nearly entire FY23 national imports

Captive mine owners who paid 100%+ in 2019-2022 now have supply certainty. Market buyers face scarcity premium. The premium was not overpayment - it was infrastructure investment.

The Full Cost Waterfall - Per Tonne at 100% Auction Premium

Odisha interior mine to coastal plant | IBM ASP Rs4,000/t | Rs660/t = upper-quartile efficient open-cast



Rs 660/t
Physical Mining
(upper-quartile efficient)

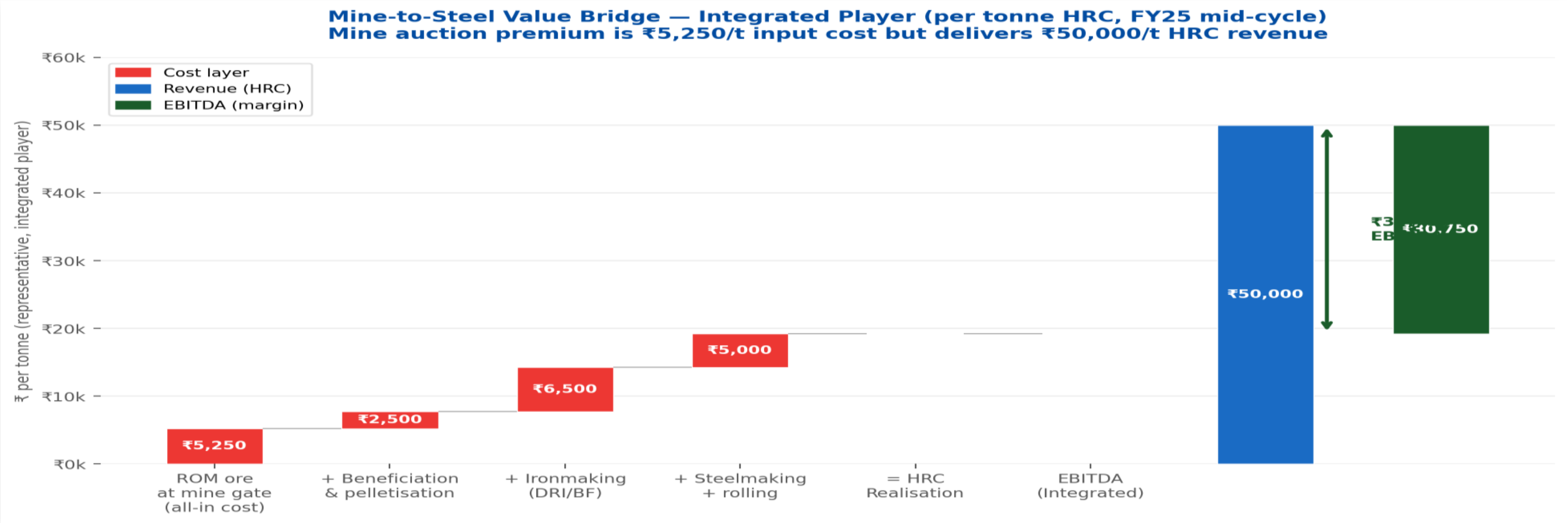
Rs 4,752/t
Total Statutory Levies
(royalty + DMF + premium)

Rs 1,330/t
Rail Logistics
(Odisha to coast ~350 km)

Rs 6,742/t
Total Delivered Cost
(all-in, mine gate + logistics)

Mine-to-Steel Value Bridge - Where the Money Is Made

Integrated player, per tonne HRC, FY25 mid-cycle | Auction premium = ~10% of Rs 50,000/t HRC revenue

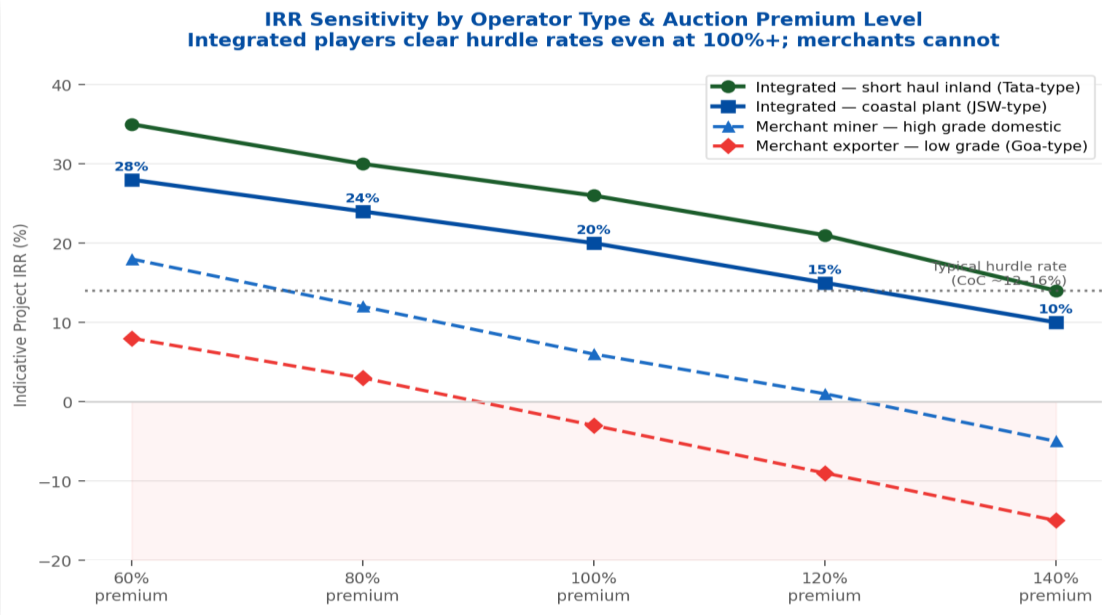


Ore input cost: ~Rs 2,500/t HRC-equivalent
HRC realisation: Rs 48,000-56,000/t (FY25)
Integrated EBITDA: Rs 7,000-22,000/t HRC

The mine is NOT a profit centre. It is a cost-reduction engine. At 100% premium, ore adds ~10% to total input cost vs. Rs 50,000 of steel revenue.

IRR Sensitivity - The Finance Lens

Mine-level IRR vs. integrated project IRR | Hurdle rate for Indian steel companies: 12-16%



Scenario	Mine IRR	Steel IRR	Verdict
Base (mid-cycle)	8–12%	16–22%	**Acceptable**
Reserve upside (2x)	14–18%	22–28%	**Strong**
Boom cycle (FY22)	12–16%	20–26%	**Good**
Bear (COVID type)	2–5%	10–14%	**Marginal**
Short haul inland	15–20%	24–30%	**Best case**

Mine-level IRR at 100% premium (8–12%) is below hurdle rates in isolation. The bid is only rational when the INTEGRATED steel project IRR (16–28%) is the decision metric. This is why non-integrated bidders forfeit.

CONCLUSION & VERDICT

Five Reasons 100%+ Premiums Are Rational - With Numbers

01	**Integration Economics**	Ore adds ~Rs 5,000/t to a Rs50,000/t HRC business. Auction premium is ~10% of revenue. Mine-level loss; project-level profit.
02	**Price Cycle Optionality**	Over 50 years, IBM ASP swings from Rs 1,900/t (COVID) to Rs5,200/t (FY22). The premium that hurts in troughs pays richly in booms.
03	**Logistics Arbitrage**	Short-haul operators save Rs 900-1,500/t vs coastal buyers. Tata's 60 km haul (Rs200/t) vs Bailadila–Vizag (Rs1,500/t) - structural moat.
04	**FY26 Supply Validation**	Imports +126%, Odisha –10%, steel +11%. Captive mine owners have supply certainty; market buyers face scarcity premium right now.
05	**Grade & Reserve Upside**	High-grade lump (Fe 65%+) realizes Rs5,500-6,500/t vs IBM ASP Rs4,000/t. Reserve upside (2x declared) transforms IRR to 22–28%.